(a) Purchased goods (readymade shirts) on credit from Subbu ` 20,000

(b) Goods returned to Subbu and no cash is received ` 5,000

(c) Goods (shirts) costing ` 1,600 was sold to Janani on credit ` 2,000

(d) Janani returned 1 shirt of sales value ` 500

(e) Janani deposited the money due in cash deposit machine in a bank ` 1,500

(f) Insurance on building paid through net banking ` 1,000

(g) Of the insurance paid, prepaid during the year is ` 100

Solution

Transaction	Assets						Capital `	Creditors `
	Cash `	Bank `	Stock `	Debtors `	Prepaid insurance `			
To Balance b/d	+20,000	+70,000	+15,000				+1,05,000	
Equation	**+20,000**	**+70,000**	**+15,000**			=	**+1,05,000**	
(a) Purchased goods on credit			20,000					+20,000
Equation	**+20,000**	**+70,000**	**+35,000**			=	**+1,05,000**	**+20,000**
(b) Goods returned and no cash received			–5,000					–5,000
Equation	**+20,000**	**+70,000**	**+30,000**			=	**+1,05,000**	**+15,000**
(c) Goods sold on credit			–1,600	2,000			+400	
Equation	**+20,000**	**+70,000**	**+28,400**	**+2,000**		=	**+1,05,400**	**+15,000**
(d) Sales return the cost of which is ` 400 and no cash paid			+400	–500			–100	
Equation	**+20,000**	**+70,000**	**+28,800**	**+1,500**		=	**+1,05,300**	**+15,000**
(e) Customer deposited the money in CDM		+1,500		–1,500				
Equation	**+20,000**	**+71,500**	**+28,800**			=	**+1,05,300**	**+15,000**
(f) Insurance premium paid through net banking		–1,000					–1,000	
Equation	**+20,000**	**+70,500**	**+28,800**			=	**+1,04,300**	**+15,000**
(g) Prepaid insurance					+100		+100	
Equation	**+20,000**	**+70,500**	**+28,800**		**+100**	=	**+1,04,400**	**+15,000**